BIG INTERN SCHEME FALLS SHORT

THE CENTRAL GOVERNMENT'S ATTEMPTS TO GIVE YOUNG JOB-SEEKERS MUCH-NEEDED CORPORATE EXPOSURE SEE AN UNDERWHELMING UPTAKE

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TWENTY-ONE-YEAR-OLD Nitin Rathore from Kota is the kind of student the government had in mind when it envisioned the Prime Minister's Internship Scheme (PMIS). A business administration graduate from Career Point University and the first in his business-owning family to seek a job, he has been working in the HR department of an Indian multinational for the past few months. Treating the one-year internship as a stepping stone to a secure career, he says, "I am giving this my 100 per cent so that they give me a pre-placement offer."

It hasn't been easy, though, for Rathore to get accustomed to the corporate culture. The first lesson he had to learn was about punctuality. After repeatedly arriving late for two months and seeing his salary deducted proportionately, he is now at his desk at 8:20 am sharp. He is also learning about accountability and working as part of a team.

The catch? Rathore is among the few candidates to have actually joined as an intern under the ambitious PMIS initiative. Announced in the February 2024 budget, just before the general election in May that year, PMIS aimed to offer India's youth 10 million internships over five years, or 2 million a year on average, in top 500 companies. Targeted at 21-24-year-olds from low-income households, especially those in the NEET (Not in Education, Employment or Training) category, the year-long internships promised real-world business exposure, a monthly stipend of Rs 5,000—with the central government contributing Rs 4,500 and companies providing Rs 500 or more from their Corporate Social Responsibility (CSR) funds—besides a one-time allowance of Rs 6,000. "The intent of the programme," Nirmala Sitharaman, Union minister of finance and corporate affairs, had told Parliament this February, "is not to provide a job but exposure and, through the internship, a kind of awareness of what is there in the market for which they have to be trained."

Rather than roll out the full two million internships in the year, the Union ministry of corporate affairs (MCA)—the nodal authority for PMIS—opted for a pilot phase first. In retrospect, that caution was justified. The pilot, which aimed to train 125,000 interns for the year, was launched in October 2024. Its uptake was not just sluggish, it was way below expectations.

That the MCA failed to anticipate such a low turnout was evident when in their budget demands for FY26, they sought and got sanction for scaling up PMIS to 1.5 million internships with a budgeted outlay of Rs 10,831 crore, five times the Rs 2,000 crore allocated in FY25. The Rs 840 crore allocated to the pilot project was revised